CHAPTER 4

RECORDING OF TRANSACTIONS II

CHAPTER ESSENCE AT A GLANCE:
Subdivide the primary journal into dedicated subsidiary books: cash books, purchases and sales journals, returns books, petty cash imprest, and journal proper.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Subsidiary Book Specialization:** Large enterprises subdivide the journal into specialized subsidiary books to record repetitive homogeneous transactions without cluttering the general journal.

• **Cash Book Dual Character:** The Cash Book serves simultaneously as a book of original entry (journal) and a principal ledger account, completely eliminating the need for a separate Cash Account in the ledger.

• **Imprest Petty Cash System:** The petty cashier is provided with a fixed predetermined advance (imprest) at the period start and reimbursed exact aggregate petty expenditures incurred upon submitting vouchers.

• **Journal Proper Residual Scope:** Only non-repetitive miscellaneous transactions that cannot be entered into any specialized subsidiary book (opening, closing, adjusting, rectification, transfer entries) are recorded in the Journal Proper.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\text{Imprest Reimbursement} = \text{Opening Float Imprest} - \text{Total Petty Cash Incurred}$$
Petty Cash Imprest Replenishment Formula

$$\text{Contra Entry Condition} = \text{Cash Deposited in Bank or Cash Withdrawn for Office}$$
Double-Column Cash Book Contra Entry

$$\text{Net Credit Purchases} = \text{Gross Invoices} - (\text{Trade Discounts} + \text{Purchases Returns})$$
Purchases Journal Aggregate Model

$$\text{Journal Proper Scope} = \text{Opening} + \text{Closing} + \text{Adjusting} + \text{Transfer} + \text{Rectification}$$
Journal Proper Transaction Spectrum

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Never record cash purchases or cash sales in Purchases Book or Sales Book; only credit purchases of merchandise goods belong in Purchases Book, and only credit sales of merchandise belong in Sales Book.

• **Alert:** Credit purchases of fixed assets (e.g. office furniture or computer) are recorded in Journal Proper, never in Purchases Book.

• **Alert:** Contra entries in a double-column cash book affect both cash and bank columns simultaneously and require the letter 'C' in the Ledger Folio column with zero external ledger posting.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. What is a Contra Entry in a double column cash book? Give two practical examples. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** An entry that affects both the cash column and bank column simultaneously within the same double-column cash book, requiring no subsequent ledger posting. **[1 Mark]**

• **Examples:** (1) Cash deposited into bank account, (2) Cash withdrawn from bank for office use. Both are marked with 'C' in the LF column. **[1 Mark]**

2. Explain the Imprest System of petty cash book and state its chief advantage. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Imprest Mechanism:** The chief cashier advances a fixed sum (imprest float) to the petty cashier, who pays small disbursements and is reimbursed the exact total spent at the period end. **[1 Mark]**

• **Chief Advantage:** Relieves the head cashier from recording numerous trivial payments and prevents excessive cash accumulation in the petty cash drawer. **[1 Mark]**

3. List any three specialized subsidiary books other than the cash book and state the exact nature of transactions recorded in each. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Purchases Book:** Exclusively records credit purchases of merchandise inventory in which the firm deals (excludes cash purchases and asset purchases). **[1 Mark]**

• **Sales Book:** Exclusively records credit sales of merchandise inventory to customers (excludes cash sales and asset sales). **[1 Mark]**

• **Purchases Return Book:** Records returns of merchandise goods previously bought on credit to suppliers, supported by debit notes. **[1 Mark]**

4. State the specific subsidiary book in which each of the following transactions will be recorded: (a) Bought machinery on credit from ABC Ltd, (b) Sold goods for cash Rs 8,000, (c) Goods returned by customer Mohan, (d) Proprietor withdrew goods for personal use, (e) Bought stationery for cash Rs 500, (f) Credit sale of old office equipment. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **(a) & (f):** Journal Proper (credit purchases and sales of capital fixed assets). **[1 Mark]**

• **(b) & (e):** Cash Book (cash inflows from sales and cash outflows for stationery). **[1 Mark]**

• **(c) & (d):** Return Inwards Book (customer returns) and Journal Proper (drawings in kind). **[1 Mark]**

5. Explain why the Cash Book is regarded as both a book of original entry and a principal ledger account. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Book of Original Entry:** Cash and bank transactions are recorded directly in the cash book as and when they occur, complete with source voucher numbers and narrations. **[1.5 Marks]**

• **Principal Ledger Account:** The cash book is structured in T-account ledger format and balanced periodically; hence, opening a separate Cash Account in the ledger is completely unnecessary. **[1.5 Marks]**

6. Differentiate between Trade Discount and Cash Discount across three essential parameters. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Purpose:** Trade discount is allowed by manufacturers or wholesalers to encourage bulk purchasing; cash discount is allowed to incentivize prompt or early payment before the due date. **[1 Mark]**

• **Ledger Recording:** Trade discount is deducted on the invoice and never recorded in ledger books; cash discount is explicitly recorded in Discount Allowed or Discount Received accounts. **[1 Mark]**

• **Payment Dependency:** Trade discount applies to both cash and credit sales; cash discount is strictly contingent upon payment being made within the agreed discount window. **[1 Mark]**

7. Enter the following transactions in a double-column cash book with cash and bank columns: (1) Cash in hand Rs 12,000, Bank overdraft Rs 4,000, (2) Cash sales Rs 15,000 of which Rs 10,000 deposited into bank, (3) Paid Suresh by cheque Rs 3,800, (4) Withdrew from bank for office use Rs 2,500. [Score: 4 Marks]

Answer & Key Valuation Steps:

• **(1) Opening Balances:** To Balance $\frac{b}{d}$ on Debit cash column Rs 12,000; By Balance $\frac{b}{d}$ on Credit bank column Rs 4,000 (overdraft credit balance). **[1 Mark]**

• **(2) Sales and Bank Deposit:** To Sales $\frac{A}{c}$ on Debit: cash column Rs 5,000 and bank column Rs 10,000. **[1 Mark]**

• **(3) Cheque Payment:** By Suresh on Credit bank column Rs 3,800. **[1 Mark]**

• **(4) Office Cash Withdrawal (Contra):** Debit cash column To Bank $\frac{A}{c}$ (C) Rs 2,500; Credit bank column By Cash $\frac{A}{c}$ (C) Rs 2,500. Final closing balances: Cash balance $\frac{c}{d}$ = Rs 19,500 (Dr); Bank balance $\frac{c}{d}$ = Rs 300 (shortfall overdraft Cr). **[1 Mark]**